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The Role of Stock Ownership by US Members of Congress on the Market for Political Favors

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1 Big picture

- **Question.** Does stock ownership by US members of Congress help enforce noncontractible quid pro quo relationships between politicians and firms?
- **Core idea.** A direct fee-for-service contract between a politician and a firm would be illegal and unenforceable. The paper asks whether a politician's ownership of a firm's stock can serve as an implicit commitment device: if the politician helps the firm, the politician also benefits financially.
- **Setting.** The paper studies US members of Congress and S&P 500 firms during 2004–2007, combining congressional financial disclosures, firm PAC contributions, committee assignments, firm characteristics, and government contract awards.
- **Main empirical object.** The key relationship is between *politician ownership* in a firm and *firm PAC contributions* to that politician. The paper interprets a strong ownership–contribution association as evidence of a mutually supportive politician–firm relationship.
- **Main result 1: ownership is tilted toward contributors.** Members of Congress hold more stock in firms that contribute to their election campaigns than in non-contributing firms, even after controlling for familiarity, geographic proximity, firm characteristics, politician characteristics, and modeled firm and politician effects.
- **Main result 2: the relation is stronger when it is more valuable.** The ownership–contribution association is stronger when there is no committee-assignment mechanism connecting the politician and the firm, when firms are smaller, when politicians are more powerful, and before politicians come under ethics investigation.
- **Main result 3: financial incentives matter.** The association is stronger for politicians with fewer holdings, lower trading frequency, and larger ownership relative to net wealth. This supports the interpretation that personal financial exposure makes ownership a credible commitment device.
- **Main result 4: firms receive benefits.** Firms with a stronger ownership–contribution association receive more government contracts, and the effect remains after controlling for alternative political-connection measures such as PAC spending, lobbying, politically connected boards, and total politician ownership.
- **Main result 5: divestiture breaks the relationship.** When politicians divest stock in contributing firms, those firms are less likely to continue contributing, lose future contracts, and experience poorer accounting and stock performance.
- **Economic takeaway.** The paper reframes politicians' portfolio choices as part of a market for political favors. Stock ownership can align politician and firm incentives and help sustain an implicit exchange that cannot be written as a formal contract.

2 Incremental contribution of the paper

- **From political connections to enforcement mechanisms.** Prior work shows that connected firms receive benefits and that firms support politicians. This paper

asks how the implicit exchange is sustained when explicit contracts are illegal and unenforceable.

- **A finance-based mechanism for quid pro quo relations.** The paper proposes stock ownership as a commitment technology. Politicians who own firm stock partially internalize the firm’s payoff, reducing the firm’s uncertainty about the politician’s future behavior.
- **A new view of politicians’ portfolio choice.** The paper adds quid pro quo incentives to familiar explanations for individual portfolio holdings, such as geographic proximity, familiarity, loyalty, and investor recognition.
- **A new firm-level political-connection measure.** The paper constructs an *ownership–contribution association* for each firm-year. This measure captures whether politicians who own a firm’s stock are also the politicians who receive contributions from that firm.
- **Beyond political spending alone.** The paper shows that raw PAC spending, lobbying, board political connections, and aggregate politician ownership do not fully capture the reciprocal nature of political relationships. The association between ownership and contribution is more informative about government-contract allocation.
- **Dynamic evidence through divestiture.** The paper uses divestment as a signal that a relationship is being terminated. The subsequent loss of contributions, contracts, and performance supports the relationship-enforcement interpretation.
- **Institutional contribution.** By using mandated US disclosure rules for politician assets and campaign contributions, the paper turns a usually hidden political economy mechanism into an observable empirical object.

3 Data and measurement

3.1 Stock ownership by politicians

- The stock ownership data come from personal financial disclosure reports required under the Ethics in Government Act of 1978.
- The Center for Responsive Politics collects and digitizes the reports for members of Congress.
- The sample focuses on shares in S&P 500 firms held by members of Congress from 2004 to 2007.
- The final sample includes 709 politicians and 642 unique firms.
- Politicians report assets above disclosure thresholds and typically report holdings in value ranges. When exact values are unavailable, the paper uses range midpoints.

Interpretation: The stock data are unusual because they reveal the personal financial exposure of politicians to individual firms. This makes it possible to study whether portfolio holdings are politically strategic rather than only conventional investment choices.

3.2 PAC contributions

- The paper identifies PACs associated with sample firms using the Center for Responsive Politics.
- It collects contributions from firm-affiliated PACs to House and Senate candidates during the 2003–2004 through 2007–2008 election cycles.
- If a firm has multiple PACs, contributions to a candidate are aggregated at the firm-candidate level.
- The key variable PAC_{jit} equals one if politician i receives a contribution from firm j in year t .

Interpretation: PAC contributions measure the benefits that flow from firms to politicians. They are observable, legal channels of support, and they provide the empirical counterpart to one side of the implicit exchange.

3.3 Government contracts

- The government contract data come from Eagle Eye Publishers, which compiles information from the Federal Procurement Data System–Next Generation.
- The paper collects aggregate procurement contracts awarded to sample firms from 2004 to 2008.
- Contract amounts are assigned to parent companies when awards go to subsidiaries.
- Government contracts are the main observable benefit flowing from politicians or government agencies to firms.

Interpretation: Contracts provide a concrete measure of private benefits. They are not the only possible favor politicians can help deliver, but they are measurable and economically important.

3.4 Committee, power, and proximity variables

- $Com_Firm_Match_{ijt}$ equals one when firm j 's industry falls under the jurisdiction of politician i 's congressional committee in year t .
- $State_Firm_Match_{ij}$ captures geographic proximity between a politician and a firm's headquarters.
- Politician power is measured using membership in powerful committees, the number of powerful committee seats, seniority, and incumbency.
- Ethics-investigation indicators capture periods when a politician's ability to provide favors is plausibly constrained.

Interpretation: These variables are important because a simple correlation between ownership and contributions could reflect familiarity, recognition, or formal committee

relationships. The paper’s design repeatedly asks whether the ownership mechanism is stronger exactly when alternative enforcement mechanisms are weaker.

3.5 The ownership–contribution association

For each firm-year, the paper estimates how strongly politician ownership in that firm is associated with firm contributions to those politicians. A positive estimated coefficient is used as a firm-year measure of a mutual relation:

$$Ownership_i^* = \beta PAC_i + \varepsilon_i, \quad Ownership_i = Ownership_i^* \text{ if } Ownership_i^* \geq 0, \quad 0 \text{ otherwise.}$$

- A positive β means that, within a firm-year, politicians receiving contributions from that firm also hold more of the firm’s stock.
- The paper sets the measure to zero when the estimated association is nonpositive.
- The measure is designed to capture reciprocal alignment, not merely firm political spending or politician ownership separately.

Interpretation: This measure is the paper’s key constructed variable. It tries to identify firm-years in which ownership and contributions move together in a way consistent with a political exchange relationship.

4 Models and empirical specifications

4.1 Baseline Tobit ownership model

The baseline model explains politician i ’s ownership of firm j in year t :

$$\begin{aligned} Ownership_{ijt}^* &= x_{ijt}'\kappa + z_{jt}'\lambda + v_{it}'\delta + \alpha_j + \gamma_i + \varepsilon_{ijt}, \\ Ownership_{ijt} &= Ownership_{ijt}^* \text{ if } Ownership_{ijt}^* \geq 0, \\ Ownership_{ijt} &= 0 \text{ if } Ownership_{ijt}^* < 0. \end{aligned}$$

- The dependent variable is the natural logarithm of one plus the dollar amount of shares owned, or zero if the politician does not invest.
- x_{ijt} contains politician–firm variables such as PAC contributions, committee match, and state match.
- z_{jt} contains firm controls such as size, book-to-market, momentum, return volatility, dividends, leverage, and ROA.
- v_{it} contains politician controls such as net wealth, age, and gender.
- Firm and politician effects are modeled following Chamberlain’s approach for correlated random effects.

Interpretation: The Tobit framework is natural because most politician–firm-year observations have zero ownership. The coefficient on PAC_{jit} asks whether politicians are more exposed to firms that contribute to them.

4.2 Partisan contribution test

The paper also uses party-level contributions to distinguish mutual political alignment from simple investor recognition. It adds

$$PACdem_{jt} - PACrep_{jt}$$

and interacts it with a Republican-politician indicator.

- A positive coefficient for Democrats means Democratic politicians hold more stock in firms that give relatively more to Democrats.
- A negative interaction with $REPUBLICAN_i$ means Republican politicians display the opposite tilt.

Interpretation: If politicians merely recognize politically active firms, party direction should not matter. Partisan ownership patterns suggest that political alignment, not just recognition, matters.

4.3 Value-of-relation tests

To test whether ownership is more useful when the politician–firm relationship is more valuable, the paper estimates interaction specifications such as

$$Ownership_{ijt}^* = \dots + \beta_1 PAC_{jit} + \beta_2 (PAC_{jit} \times RelationValue_{ijt}) + \dots$$

The relevant moderators include committee match, firm size, powerful committee membership, number of powerful committee seats, seniority, incumbency, and ethics-investigation status.

Interpretation: The mechanism predicts stronger ownership–contribution links when a relation is especially useful or when the politician has more capacity to help the firm.

4.4 Financial incentive tests

The paper partitions the sample by politicians’ financial incentives:

- number of stock holdings;
- trading frequency;
- ownership as a percentage of net wealth.

Interpretation: Ownership should be a more credible commitment when the politician’s stake is salient. A small, diversified, frequently traded position would be less convincing as an insurance device.

4.5 Contracts model

The contract-benefit test estimates

$$Government_Contracts_{jt} = \beta_0 + \beta_1 Ownership_Contribution_Association_{jt} + \beta_2 Controls_{jt} + \xi_{jt}.$$

- The dependent variable is the log of one plus government contract amounts.
- Controls include firm size, book-to-market, ROA, Herfindahl index, capital expenditure over sales, COGS over sales, industry effects, and year effects.
- Additional specifications control for politically connected boards, PAC spending, lobbying expenditures, and total ownership by politicians.

Interpretation: The key question is whether the reciprocal ownership–contribution measure predicts contracts beyond standard political-connection measures.

4.6 Divestiture and relationship termination

The contribution-discontinuation test estimates

$$PAC_Discontinuation_{ijt} = \beta_0 + \beta_1 Divest_{ijt-1} + \beta_2 Controls_{ijt} + u_{ijt}.$$

- $PAC_Discontinuation_{ijt}$ equals one if the firm contributed to the politician in the previous period but no longer contributes in the current period.
- $Divest_{ijt-1}$ equals one when the politician stops holding the firm’s stock.
- The model tests whether divesting the stock signals termination of the relationship.

4.7 Divestiture and future firm outcomes

The paper then tests whether divestiture by contributing politicians predicts lower future benefits and worse performance:

$$\begin{aligned} \Delta Contracts_{jt+1} &= \beta_0 + \beta_1 Divest_Contributor_{jt} + \beta_2 Divest_NonContributor_{jt} + \beta_3 Contributor_{jt} - \\ \Delta Performance_{jt+1} &= \beta_0 + \beta_1 Divest_Contributor_{jt} + \beta_2 Divest_NonContributor_{jt} + \beta_3 Contributor_{jt} - \end{aligned}$$

Interpretation: The comparison between contributor divestitures and noncontributor divestitures is central. If only contributor divestitures forecast losses, the stock appears connected to the political relation rather than being a generic portfolio signal.

4.8 Retirement and loss of power

The retirement test estimates

$$Divest_{ijt} = \beta_0 + \beta_1 PAC_RETIRE_{ijt} + \beta_2 NoPAC_RETIRE_{ijt} + \beta_3 PAC_{ijt} + \beta_4 Controls_{ijt} + u_{ijt}.$$

Interpretation: If ownership is useful because it sustains a political relationship, politicians should divest contributing firms when they anticipate retirement and no longer need contributions or no longer have power to provide favors.

5 Identification and empirical design

5.1 What the design can identify

- The paper identifies strong conditional associations between politician ownership, firm contributions, government contracts, divestiture, and subsequent firm outcomes.
- The design is not a randomized experiment. It does not prove that any individual stock purchase directly causes a specific government contract.
- The paper is strongest as mechanism evidence: many separate tests point in the same direction and are difficult to reconcile with only familiarity or investor-recognition explanations.

Interpretation: The empirical strategy is cumulative. Each test is imperfect alone, but the repeated pattern across cross-sectional, interaction, and dynamic-divestiture evidence supports the enforcement-mechanism interpretation.

5.2 Main alternative explanations

- **Familiarity and geographic proximity.** Politicians might invest in firms near their home states, and those firms might also contribute to local politicians.
- **Investor recognition.** Politicians might invest in large, visible firms, and large firms are more politically active.
- **Committee-related awareness.** Politicians may know firms in industries covered by their committees and those firms may donate to them.
- **Portfolio choice unrelated to politics.** Politicians may simply choose stocks like other investors.
- **Firm-level omitted variables.** Firms receiving contracts might differ systematically in size, industry, demand, lobbying resources, or contract capacity.

Interpretation: Much of the paper’s empirical design is about showing that these alternatives do not fully explain the ownership–contribution relation.

5.3 Design features that strengthen the mechanism interpretation

- The baseline ownership regressions control for state match, committee match, firm characteristics, politician characteristics, and year effects.
- Party-level contribution tests show that ownership is partisan, which is difficult to explain using only investor recognition.
- Committee-match results show the ownership mechanism is stronger when the formal committee mechanism is absent.
- Firm-size results show the relationship is stronger for small firms, where politician help can plausibly have greater marginal value and lower public visibility.
- Powerful-politician results show stronger associations when politicians have greater ability to deliver benefits.
- Investigation results show the association weakens when politicians are under scrutiny and less able to help.
- Financial-incentive results show the association is stronger when the ownership stake is more meaningful for the politician.
- Divestiture tests show that ending ownership predicts contribution discontinuation, lower contracts, and weaker future performance.

Interpretation: The most persuasive feature is the alignment across comparative statics: the ownership–contribution link strengthens and weakens exactly where the implicit-contract theory predicts.

5.4 Limitations

- The data cover disclosed holdings and are affected by reporting thresholds and range-based values.
- The sample focuses on large public firms, mainly S&P 500 firms, so external validity to smaller private firms is limited.
- Government contracts are only one type of political benefit; unobserved regulatory, legislative, or informational favors may also matter.
- Ownership and contributions may still be jointly determined by unobserved political or firm-specific factors.
- The paper cannot observe the exact informal communications or agreements between politicians and firms.

Interpretation: The paper should be read as strong empirical evidence for an implicit-exchange mechanism, not as direct proof of explicit bribery or a documented contract.

6 Tables and figures

6.1 Table 1: Summary statistics

Read:

- Table 1 reports the main variables used across the seven hypothesis tests.
- The sample contains 1,309,727 politician–firm-year observations for the ownership regressions, but only 17,887 observations have positive stock ownership.
- Conditional on positive holdings, the average politician–firm ownership position is about \$125 thousand, while the median is much smaller.
- Panel B introduces the firm-level ownership–contribution association: it is positive for 502 firm-year observations belonging to 227 firms.
- The table also reports the contract, divestiture, and retirement variables used later in the paper.

Economic message: The table shows that the empirical setting is sparse: most politician–firm pairs involve no ownership. This makes the positive ownership–contribution association economically meaningful rather than mechanical.

Table 1
Summary statistics.
Descriptive statistics for all variables. My sample includes the stock ownership by 709 politicians in 642 firms during 2004–2007. To parallel the stock ownership data sample period, I collect every political contribution made from the 2003–2004 cycle, up to and including the 2007–2008 cycle. The variables of interest are defined in Tables 2–10, and the controls are defined in Appendix A.

	Mean	SD	Median
Panel A: Variables used for testing Hypotheses 1, 2, and 3			
Politician–firm specific characteristics			
Time-variant characteristics (N = 1,309,727)			
Ownership _{it} (\$)	1,708.3	284,186.2	0
Ownership _{it} (IF > 0, N = 17,887) (\$)	125,084.3	2,428,673.9	8,006.50
PKC _{it}	0.052	0.222	0
Con_Firm_Match _{it}	0.15	0.355	0
PKC_Non-Investigation _{it}	0.0466	0.2171	0
PKC_Investigation _{it} (N = 426,434)	0.0025	0.0498	0
State_Firm_Match _{it}	0.043	0.203	0
Politician-specific characteristics			
Time-variant characteristics (N = 2,307)			
Net_Wealth _{it} (millions)	6.586	28.572	0.773
Age _{it} (years)	56.855	10.070	37
Powerful_Committee _{it}	0.821	0.383	1
No_Powerful_Committee _{it}	1.163	0.825	1
Seniority _{it} (years)	10.759	8.835	9
Incumbent _{it}	0.97	0.164	1
Investigation _{it}	0.036	0.185	0
Time-invariant characteristics (N = 709)			
Gender _{it}	0.839	0.368	1
Republicans	0.488	0.5	0
Firm-specific characteristics			
Time-variant characteristics (N = 2,273)			
Size _{it-1}	23.013	1.091	22.905
BM _{it-1}	0.389	0.221	0.361
Return_volatility _{it}	0.017	0.006	0.015
Momentum _{it}	0.143	0.304	0.117
Dividend _{it}	0.078	0.236	0.217
Leverage _{it}	0.591	0.210	0.590
ROA _{it}	0.061	0.061	0.054
PKC_dummy – PKC rep _{it} (thousands)	–19	51	0
Panel B: Variables used for testing Hypothesis 4			
Firm-specific characteristics			
Time-variant characteristics (N = 2,443)			
Government_Contracts _{it} (\$)	247,553,508	1,837,695,802	245,772
Ownership_Contribution_Association _{it}	2.34	6.48	0
Ownership_Contribution_Association _{it} (IF > 0, N = 502)	11.40	10.07	8.15
Size _{it}	23.09	1.08	22.997
BM _{it}	0.388	0.235	0.350
ROA _{it}	0.062	0.071	0.054
Herfindahl_Index _{it}	0.061	0.061	0.037
CAPO/Sales _{it}	0.067	0.097	0.037
COGS/Sales _{it}	0.578	0.218	0.615
PKC_Spending _{it} (millions)	0.068	0.139	0.009
Lobbying_Expenditure _{it} (millions)	1.072	3.130	0.18
Ownership_by_Politicians _{it} (millions)	0.922	6.688	0.073
Time-invariant characteristics (N = 642)			
Politically_Connected_Board	0.283	0.639	0
Panel C: Variables used for testing Hypothesis 5			
Politician–firm specific characteristics			
Time-variant characteristics (N = 1,825)			
PKC_Discontinuity _{it}	0.39	0.488	0
Divest _{it-1}	0.198	0.398	0
Panel D: Variables used for testing Hypothesis 6			
Firm-specific characteristics			
Time-variant characteristics (N = 1,473)			
ΔContract _{it-1} (\$)	30,925,045	310,328,618	0
Divest_Contributor _{it}	0.018	0.072	0
Divest_NonContributor _{it}	0.329	0.308	0.25
Contributor _{it}	0.088	0.17	0
ΔROA _{it-1}	–0.010	0.066	–0.001
CAPO _{it-1}	0.0098	0.331	0.039

Table 1 (continued)

	Mean	SD	Median
Panel E: Variables used for testing Hypothesis 7			
Politician–firm specific characteristics			
Time-variant characteristics (N = 12,459)			
Divest _{it}	0.287	0.452	0
PKC_RETIRE _{it}	0.01	0.085	0
No PKC_RETIRE _{it}	0.075	0.261	0

(a) Table 1, part 1: main summary statistics

(b) Table 1, part 2: continuation

6.2 Table 2: Ownership and firm contributions

Read:

- Table 2 tests whether politicians own more stock in firms that contribute to them.
- Column 1 shows that PAC_{jit} is positive and highly significant: politicians hold more stock in contributing firms than in noncontributors.
- The paper interprets the marginal effect as about 32.8 percent more ownership in contributing firms.
- Column 2 shows partisan investment behavior: Democratic politicians invest more in firms that favor Democrats, and the Republican interaction moves the effect in the opposite direction.
- The committee-match coefficient is negative, consistent with ownership being less necessary when committee assignment already provides an enforcement channel.

Economic message: Table 2 establishes the first-order fact: politician portfolios are tilted toward firms that support them politically, and this is not simply generic recognition of politically active firms.

6.3 Table 3: When is the relationship more valuable?

Read:

- Table 3 studies whether the ownership–contribution association varies with the value of establishing a relation.
- The negative interaction between PAC and committee match implies that ownership is more important when the committee mechanism is absent.
- The negative interaction between PAC and firm size implies that the association is stronger for smaller firms.
- The positive interactions with powerful committee membership, number of powerful committee seats, seniority, and incumbency imply stronger relations when politicians have more power.

Economic message: Table 3 provides comparative-static evidence. The ownership mechanism is strongest when it is most useful and when the politician is best positioned to deliver favors.

Table 2

Is the stock ownership by politicians positively associated with contributions?

Tobit model estimates of $Ownership_{ijt}$, which is defined as the natural logarithm of one plus the dollar amount of shares owned by politician i in firm j at time t , and zero if he or she does not invest. PAC_{jit} is an indicator variable that equals unity if politician i receives a campaign contribution from firm j in year t , and zero otherwise. $PAC\ dem_{jt} - PAC\ rep_{jt}$ is the difference between the sum of contributions paid to all Democratic candidates (regardless of whether the candidate is elected) by firm j in year t and the sum of contributions paid to all Republican candidates (regardless of whether the candidate is elected) by firm j in year t . $REPUBLICAN_i$ is an indicator variable equal to one if politician i is Republican, and zero otherwise. All variables are defined in Appendix A. Both the politician and firm effects are modeled following Chamberlain (1984). The sample used for estimating the results reported in column 1 includes politicians from every party (Democratic, Republican, Independent, and Third-party), while the sample used for estimating the results in column 2 includes only those politicians belonging to either the Democratic or Republican Party. See Table 1 for sample description. Standard errors corrected for clustering at the politician-firm level are reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$ (two-tailed test).

	$Ownership_{ijt}$	
	(1)	(2)
PAC_{jit}	2.897*** (0.292)	2.238*** (0.295)
$PAC\ dem_{jt} - PAC\ rep_{jt}$		0.008*** (0.002)
$(PAC\ dem_{jt} - PAC\ rep_{jt}) * REPUBLICAN_i$		-0.009*** (0.003)
$REPUBLICAN_i$		4.689*** (0.239)
$Com_Firm_Match_{ijt}$	-0.511* (0.295)	-0.499* (0.294)
$State_Firm_Match_{ij}$	4.474*** (0.460)	4.797*** (0.459)
Net_Wealth_{it}	0.009*** (0.004)	0.010*** (0.004)
Age_{it}	2.027*** (0.225)	1.184*** (0.229)
$Gender_i$	-1.894*** (0.270)	-2.795*** (0.272)
$Size_{jt-1}$	4.305*** (0.374)	4.349*** (0.375)
BM_{jt-1}	1.884* (1.004)	1.923* (1.002)
$Momentum_{jt}$	2.609*** (0.310)	2.641*** (0.310)
$Return\ volatility_{jt}$	178.913*** (22.304)	181.537*** (22.205)
$Dividends_{jt}$	-0.013** (0.006)	-0.012** (0.006)
$Leverage_{jt}$	-6.658*** (1.271)	-6.634*** (1.269)
ROA_{jt}	1.108 (2.186)	1.360 (2.178)
Year dummies?	Yes	Yes
Politician effect?	Yes	Yes
Firm effect?	Yes	Yes
Intercept	-242.804*** (3.226)	-245.453*** (3.229)
Ln_sigma	21.624*** (0.075)	21.468*** (0.075)
N	1,309,727	1,304,008
Pseudo R^2	0.088	0.092

industries under the influence of their committee assignments than in other firms) bias against finding

(a) Table 2: Ownership and firm contributions

Table 3

Is the association between ownership and contribution a function of the size of the potential benefit to the firm?

Tobit model estimates of $Ownership_{ijt}$, which is defined as the natural logarithm of one plus the dollar amount of shares owned by politician i in firm j at time t , and zero if he or she does not invest. PAC_{jit} is an indicator variable that equals unity if politician i receives a campaign contribution from firm j in year t , and zero otherwise. $Com_Firm_Match_{ijt}$ is an indicator variable that takes a value of one when the industry to which firm j belongs is under the influence of politician i 's Congressional committee at time t , and zero otherwise. $Size_{jt-1}$ is the log of the market capitalization for firm j at the beginning of year t . $Powerful_Committee_{it}$ is an indicator variable that takes a value of one if politician i is a member of an influential and powerful committee at time t and zero otherwise. $No_Powerful_Committee_{it}$ is the number of seats on influential committees politician i occupies in year t . $Seniority_{it}$ is the log of one plus the number of years since the date a politician was first elected to Congress. $Incumbent_{it}$ is an indicator variable that takes a value of one if politician i is incumbent at time t , and zero otherwise. The controls include the full set of controls reported in Table 2, column 1. All other variables are defined in Appendix A. Both the politician and firm effect are modeled following Chamberlain (1984). The sample includes politicians from every party (Democratic, Republican, Independent, and Third-party). See Table 1 for the sample description. Standard errors corrected for clustering at the politician-firm level are reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$ (two-tailed test).

	$Ownership_{ijt}$					
	(1)	(2)	(3)	(4)	(5)	(6)
PAC_{jit} (1)	3.371*** (0.320)	26.455*** (7.006)	-0.134 (0.790)	1.539*** (0.493)	1.316* (0.787)	-12.290* (7.428)
$PAC_{jit} * Com_Firm_Match_{ijt}$	-2.561*** (0.728)					
$Com_Firm_Match_{ijt}$	-0.138 (0.304)					
$PAC_{jit} * Size_{jt-1}$		-0.959*** (0.284)				
$Size_{jt-1}$		4.378*** (0.376)				
$PAC_{jit} * Powerful_Committee_{it}$ (2)			3.491*** (0.830)			
Test 1 + 2 = 0 [p-value]			[0.0000]			
$Powerful_Committee_{it}$			-0.488* (0.276)			
$PAC_{jit} * No_Powerful_Committee_{it}$				1.082*** (0.284)		
$No_Powerful_Committee_{it}$				-0.268** (0.134)		
$PAC_{jit} * Seniority_{it}$					0.721** (0.320)	
$Seniority_{it}$					-0.675*** (0.152)	
$PAC_{jit} * Incumbent_{it}$ (3)						15.273** (7.434)
Test 1 + 3 = 0 [p-value]						[0.0000]
$Incumbent_{it}$						-1.388*** (0.590)
Full set of controls included?	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies?	Yes	Yes	Yes	Yes	Yes	Yes
Politician effect?	Yes	Yes	Yes	Yes	Yes	Yes
Firm effect?	Yes	Yes	Yes	Yes	Yes	Yes
Intercept	-242.852*** (3.225)	-243.464*** (3.230)	-242.633*** (3.226)	-242.694*** (3.226)	-243.669*** (3.237)	-240.484*** (3.239)
Ln_sigma	21.621*** (0.075)	21.624*** (0.075)	21.620*** (0.075)	21.622*** (0.075)	21.620*** (0.075)	21.618*** (0.075)
N	1,309,727	1,309,727	1,309,727	1,309,727	1,309,727	1,309,727
Pseudo R^2	0.088	0.088	0.088	0.088	0.088	0.088

(b) Table 3: Value of the potential relation

6.4 Table 4: Ethics investigations

Read:

- Table 4 splits PAC contributions into contributions received when politicians are not under investigation and when they are under investigation.
- $PAC_NonInvestigation_{jit}$ is positive and highly significant.
- $PAC_Investigation_{jit}$ is statistically insignificant.
- This suggests that when scrutiny constrains the politician's ability to help firms, ownership no longer tilts toward contributing firms.

Economic message: The table supports the idea that ownership is connected to the politician's ability to act for the firm. When that ability is impaired, the ownership–contribution link weakens.

6.5 Table 5: Financial incentives of politicians

Read:

- Table 5 partitions politicians by financial incentives.
- The PAC coefficient is larger for politicians with fewer stock holdings than for those with many holdings.
- The PAC coefficient is larger for infrequent traders than for frequent traders.
- The association is also stronger when ownership is large relative to politician net wealth.
- The reported marginal effects show economically meaningful differences: for example, infrequent traders invest about 50.13 percent more in contributors than noncontributors.

Economic message: Ownership is more credible when it matters more to the politician. This is exactly what an incentive-alignment mechanism predicts.

Table 4

Is the association between ownership and contribution a function of size of the potential benefit to the firm?

Tobit model estimates of $Ownership_{ijt}$, which is defined as the natural logarithm of one plus the dollar amount of shares owned if politician i invests in firm j at time t , and zero if he or she does not invest. $PAC_Non-Investigation_{ijt}$ is an indicator variable that equals unity if politician i receives a campaign contribution from firm j and is not under investigation in year t , and zero otherwise. $PAC_Investigation_{ijt}$ is an indicator variable that equals unity if politician i receives a campaign contribution from firm j and is under investigation in year t , and zero otherwise. $Investigation_{it}$ is an indicator variable that equals unity if politician i is under investigation in year t , and zero otherwise. Controls include the full set of controls reported in Table 2, column 1. Other variables are defined in Appendix A. Both the politician and firm effect are modeled following Chamberlain (1984). The sample includes politicians from every party (i.e., Democratic, Republican, Independent and Third-party). See Table 1 for the sample description. Standard errors corrected for clustering at the politician–firm level are reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$ (two-tailed test).

	$Ownership_{ijt}$
$PAC_Non-Investigation_{ijt}$	2.993*** (0.293)
$PAC_Investigation_{ijt}$	1.483 (1.695)
$Investigation_{it}$	−7.763*** (0.569)
Full set of controls included?	Yes
Year dummies?	Yes
Politician effect?	Yes
Firm effect?	Yes
Intercept	−242.685*** (3.220)
Ln_sigma	21.587*** (0.075)
N	1,309,727
Pseudo R^2	0.089

(a) Table 4: Investigation periods

Table 5

Is the association between ownership and contribution a function of the financial incentives of politicians?
Columns 1–4 (5–6) present Tobit (ordinary least squares) model estimates of $Ownership_{ijt}$, which is defined as the natural logarithm of one plus the dollar amount of shares owned if politician i invests in firm j at time t , and zero if he or she does not invest. PAC_{it} is an indicator variable that equals unity if politician i receives a campaign contribution from firm j in year t , and zero otherwise. The sample includes politicians from every party (Democratic, Republican, Independent, and Third party). The controls include the full set of controls reported in Table 2, column 1. Both the politician and firm effect are modeled following Chamberlain (1984). See Table 1 for the sample description. Standard errors corrected for clustering at the politician–firm level are reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$ (two-tailed test).

	Partitioning the sample by financial incentives of politicians					
	Number of stock holdings		Trading frequency		Ownership as a % of net wealth	
	(1) Low	(2) High	(3) Infrequent	(4) Frequent	(5) High	(6) Low
PAC_{it}	4.681*** (1.108) a	1.655*** (0.283) b	4.081*** (0.491) c	2.326*** (0.364) d	0.201** (0.085) e	0.044 (0.040) f
Cross-equation restriction test	Test a=b 7.05 [0.00]***		Test c=d 9.50 [0.00]***		Test e=f 2.50 [0.08]*	
[p-Value]						
Full set of controls included?	Yes	Yes	Yes	Yes	Yes	Yes
Year dummies?	Yes	Yes	Yes	Yes	Yes	Yes
Politician effect?	Yes	Yes	Yes	Yes	Yes	Yes
Firm effect?	Yes	Yes	Yes	Yes	Yes	Yes
The marginal effect of PAC on $Ownership$	41.13%	23.92%	50.13%	31.8%	22.26%	4.5%
N	645,821		451,891		17,887	

(b) Table 5: Financial incentives

6.6 Table 6: Government contracts

Read:

- Table 6 asks whether firms with stronger ownership–contribution associations receive more government contracts.
- The ownership–contribution association is positive and significant in columns 1–3.
- The effect remains after adding conventional political-connection controls: politically connected boards, PAC spending, lobbying expenditures, and aggregate ownership by politicians.
- Column 4 shows that Group 1 firms, those with positive ownership–contribution association, receive more contracts than other politically active or politician-owned firms.

Economic message: The table is central to the paper. It shows that the reciprocal ownership–contribution measure predicts real economic benefits to firms, not just symbolic political ties.

6.7 Table 7: Divestiture and contribution discontinuation

Read:

- Table 7 studies whether divesting a firm’s stock terminates the mutual relation.
- Divestiture increases the probability that the firm stops contributing to the politician, conditional on having contributed previously.
- The effect is stronger for politicians with fewer holdings and for infrequent traders.
- The interaction with committee match shows that divestiture has less effect when committee assignment provides an alternative relation-enforcement mechanism.

Economic message: If stock ownership sustains the relationship, divesting should signal the relationship’s end. Table 7 shows exactly this dynamic pattern.

Table 6

Do firms with a stronger ownership-contribution association receive more government contracts?

Tobit model estimates of *Government_Contracts_{it}*, which is the aggregate amount of government contracts allocated to firm *j* at time *t*, and is defined as the log of one plus contract amounts. *Ownership_Contribution_Association_{it}* is a firm-year specific measure and is defined as the estimated coefficient on *PAC_{it}* obtained from the firm *j*-year *t* specific Tobit model that regresses *Ownership_{it}* onto *PAC_{it}*; herein, *Ownership_{it}* is defined as the natural logarithm of one plus the dollar amount of shares owned if politician *i* invests in the firm, and zero if he or she does not invest, and *PAC_{it}* is defined as an indicator variable that equals unity if politician *i* receives a contribution from the firm, and zero otherwise. *Politically_Connected_Board_{it}* is the number of board members who are (former) politicians. *PAC_Spending_{it}* is the sum of all contributions paid to all candidates (regardless of whether the candidate is elected) by firm *j*. *Lobbying_Expenditures_{it}* is firm *j*’s total expenditure on lobbying in year *t*. *Ownership_by_Politicians_{it}* is the aggregate ownership by politicians in firm *j* in year *t*. *Group 1* is an indicator variable that takes the value one if firm *j* at time *t* has a positive *Ownership_Contribution_Association_{it}*, and zero otherwise. *Group 2* is an indicator variable that takes the value one if firm *j* contributes to politicians at time *t* but has a nonpositive *Ownership_Contribution_Association_{it}*, and zero otherwise. *Group 3* is an indicator variable that takes the value one if firm *j* has ownership by politicians in time *t* but has a nonpositive *Ownership_Contribution_Association_{it}*, and zero otherwise. All other variables are defined in Appendix A. See Table 1 for the sample description. Standard errors corrected for clustering at the firm level are reported in parentheses. **p* < 0.10, ***p* < 0.05, ****p* < 0.01 (two-tailed test).

	Government_Contracts _{it}			
	(1)	(2)	(3)	(4)
<i>Ownership_Contribution_Association_{it}</i>	0.116*** (0.036)	0.075** (0.035)	0.077** (0.035)	
<i>Group 1</i>				3.980*** (1.289)
<i>Group 2</i>				1.037 (0.809)
<i>Group 3</i>				1.763* (0.901)
<i>Politically_Connected_Board_{it}</i>			0.755* (0.406)	0.767* (0.406)
<i>PAC_Spending_{it}</i>			4.620** (2.382)	3.265 (2.318)
<i>Lobbying_Expenditures_{it}</i>			0.117* (0.070)	0.109 (0.067)
<i>Ownership_by_Politicians_{it}</i>			0.027** (0.012)	0.026** (0.012)
<i>Size_{it}</i>		2.317*** (0.317)	1.752*** (0.368)	1.994*** (0.401)
<i>BM_{it}</i>		0.028 (1.633)	-0.169 (1.640)	-0.227 (1.624)
<i>Herfindahl_Index_{it}</i>		-1.824 (10.646)	-2.298 (10.642)	-2.747 (10.676)
<i>CAR(Sales_{it})</i>		-2.699 (6.141)	-2.240 (6.241)	-2.330 (6.241)
<i>ROA_{it}</i>		-4.709 (4.856)	-3.907 (4.790)	-2.948 (4.796)
<i>COC(Sales_{it})</i>		5.072** (2.264)	4.592** (2.242)	4.330* (2.214)
<i>Year dummies?</i>	Yes	Yes	Yes	Yes
<i>Industry dummies?</i>	Yes	Yes	Yes	Yes
<i>Intercept</i>	12.446* (6.936)	-46.317*** (10.464)	-35.013*** (10.632)	-28.245*** (10.937)
<i>Ln_Sigma</i>	8.561*** (0.303)	8.156*** (0.302)	8.069*** (0.298)	8.053*** (0.295)
<i>N</i>	2443	2,360	2,360	2,360
<i>Pseudo R²</i>	0.063	0.076	0.078	0.079

(a) Table 6: Contracts and ownership–contribution association

Table 7

Does divesting the stock terminate the mutual relation between politician and firm?

Linear probability model estimates of *PAC_Discontinuation_{it}*, defined as an indicator variable that takes the value one if politician *i* does not receive a contribution from firm *j* at time *t* conditional upon receiving a contribution at time *t*–1, and takes the value zero when politician *i* receives a contribution from firm *j* at time *t* conditional upon receiving a contribution at time *t*–1. *Divest_{it}* is defined as an indicator variable that takes the value one when politician *i* is not an investor in firm *j* at time *t*–1 conditional upon being an investor at time *t*–2. *Few_Holdings_{it}* is an indicator that equals one if the number of stock holdings by a politician is less than the median number of holdings, and zero otherwise. *Infrequent_Trader_{it}* is an indicator that equals one if the frequency of a politician’s trading is less than the median frequency of trading, and zero otherwise. In column 5 (6) *Ownership/Net Wealth_{it}* is defined as an indicator variable if stock ownership by a politician is 1% (10%) or more of his or her net wealth and zero otherwise. For politicians who divested the stock, the numerator, *Ownership*, will be the divested amount. *Com_Firm_Match_{it}* is an indicator variable that takes a value of one when the industry to which firm *j* belongs is under the influence of politician *i*’s Congressional committee at time *t*, and zero otherwise. All other variables are defined in Appendix A. See Table 1 for the sample description. Standard errors corrected for clustering at the politician-firm level are reported in parentheses. **p* < 0.10, ***p* < 0.05, ****p* < 0.01 (two-tailed test).

	PAC_Discontinuation _{it}						
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
<i>Divest_{it}</i>	0.114*** (0.029)	0.090*** (0.029)	0.032 (0.038)	0.100*** (0.034)	0.079** (0.032)	0.079*** (0.029)	0.113*** (0.032)
<i>Divest_{it}</i> × <i>Few_Holdings_{it}</i>			0.129* (0.057)				
<i>Few_Holdings_{it}</i>			-0.038 (0.027)				
<i>Divest_{it}</i> × <i>Infrequent_Trader_{it}</i>				0.122* (0.074)			
<i>Infrequent_Trader_{it}</i>				0.068*** (0.025)			
<i>Divest_{it}</i> × <i>Ownership/Net Wealth_{it}</i>					0.046 (0.072)		
<i>Ownership/Net Wealth_{it}</i>					-0.022 (0.029)		
<i>Divest_{it}</i> × <i>Ownership/Net Wealth_{it}</i>						0.251* (0.129)	
<i>Ownership/Net Wealth_{it}</i>						-0.108* (0.062)	
<i>Divest_{it}</i> × <i>Com_Firm_Match_{it}</i>							-0.119* (0.070)
<i>Com_Firm_Match_{it}</i>		-0.052* (0.026)	-0.054* (0.030)	-0.050** (0.030)	-0.052* (0.029)	-0.052* (0.030)	-0.027 (0.033)
<i>State_Firm_Match_{it}</i>		-0.085*** (0.031)	-0.087*** (0.031)	-0.087*** (0.032)	-0.081*** (0.032)	-0.078*** (0.032)	-0.085*** (0.031)
<i>Seniority_{it}</i>		0.031 (0.021)	0.029 (0.021)	0.031 (0.021)	0.032 (0.021)	0.031 (0.021)	0.031 (0.021)
<i>Age_{it}</i>		-0.000 (0.002)	-0.000 (0.002)	-0.001 (0.002)	-0.001 (0.002)	-0.001 (0.002)	-0.000 (0.002)
<i>REPUBLICAN_{it}</i>		-0.038 (0.026)	-0.046* (0.027)	-0.038 (0.026)	-0.040 (0.026)	-0.041 (0.026)	-0.038 (0.026)
<i>House_{it}</i>		-0.180*** (0.027)	-0.173*** (0.027)	-0.180*** (0.027)	-0.178*** (0.027)	-0.180*** (0.027)	-0.181*** (0.027)
<i>ΔSize_{it}</i> × <i>Divest_{it}</i>		-0.114*** (0.055)	-0.114*** (0.055)	-0.102* (0.055)	-0.113*** (0.055)	-0.118*** (0.055)	-0.116*** (0.055)
<i>Year dummies?</i>	No	Yes	Yes	Yes	Yes	Yes	Yes
<i>Industry dummies?</i>	No	Yes	Yes	Yes	Yes	Yes	Yes
<i>Intercept</i>	0.360*** (0.013)	1.016*** (0.108)	1.057*** (0.111)	1.039*** (0.111)	1.029*** (0.109)	1.037*** (0.109)	1.086*** (0.114)
<i>N</i>	1,825	1,820	1,820	1,820	1,820	1,820	1,820

(b) Table 7: Divestiture and PAC discontinuation

6.8 Table 8: Divestiture, future contracts, and performance

Read:

- Table 8 distinguishes divestitures by politicians who receive contributions from the firm from divestitures by politicians who do not.
- *Divest_Contributor_{jt}* negatively predicts future contract changes.
- It also predicts lower future ROA and lower cumulative abnormal returns.
- *Divest_NonContributor_{jt}* is not significant across the three outcomes.

Economic message: The effect is not simply that politicians are good at selling before bad news. The negative outcome pattern appears specifically when the divesting politician

had a contribution relationship with the firm.

6.9 Table 9: Retirement and loss of power

Read:

- Table 9 tests whether politicians divest in anticipation of retirement.
- Anticipating retirement increases the probability of divesting stock in contributing firms by about 10.7 percentage points.
- The corresponding effect for noncontributing firms is small and insignificant.
- The difference between the two effects is statistically significant.

Economic message: When politicians expect to lose power and no longer need future contributions, they unwind the political stock positions that supported contributor relationships.

Table 8

Does divestiture predict the loss of future contracts and the reduction in future performance?

Columns 1, 2, and 3 provide OLS estimates of $\Delta \text{Contracts}_{jt+1}$, ΔROA_{jt+1} , and CAR_{jt+1} , respectively. $\Delta \text{Contracts}_{jt+1}$ is computed as the log of one plus change in contracts in year $t+1$. The change in contracts is the contracts awarded at time $t+1$ minus the contracts awarded at time t . When difference in contract amounts is negative, $\Delta \text{Contracts}_{jt+1}$ is computed as multiplied by the log of the absolute change in contracts. ΔROA_{jt+1} is change in return on assets in year $t+1$. CAR_{jt+1} is the cumulative abnormal returns in year $t+1$. $\text{Divest_Contributor}_{jt}$ is the proportion of politician-investors who receive contribution from firm j and divest their stocks in t firm at time t . $\text{Divest_NonContributor}_{jt}$ is the proportion of politician-investors who do not receive contribution from firm j and divest their stocks in t firm at time t . Contributor_{jt} is the proportion of politician-investors who receive contribution from firm j regardless of whether they divest at time t . In column 1, I control for Contracts_{jt} (i.e., the lagged contract amount), $\Delta \text{Contracts}_{jt}$ (i.e., the lagged change in contract amounts). In column 2, I control for ROA_{jt} (i.e., the lagged return on assets) and ΔROA_{jt} (i.e., the lag change in return on assets). In column 3, I control for CAR_{jt} and CAR_{jt-1} (the lagged abnormal returns for year t and $t-1$). In all columns, I include the lagged values of all the controls reported in column 2, Table 6. See Table for the sample description. Standard errors corrected for clustering at the firm level are reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$ (two-tailed test).

	$\Delta \text{Contracts}_{jt+1}$	ΔROA_{jt+1}	CAR_{jt+1}
	(1)	(2)	(3)
$\text{Divest_Contributor}_{jt}$	-17.623*** (5.147)	-0.064** (0.032)	-0.342** (0.150)
$\text{Divest_NonContributor}_{jt}$	0.403 (0.962)	-0.007 (0.006)	-0.023 (0.032)
Contributor_{jt}	6.700*** (2.419)	0.006 (0.008)	0.116** (0.058)
Full set of controls included?	Yes	Yes	Yes
Year dummies?	Yes	Yes	Yes
Industry dummies?	Yes	Yes	Yes
Intercept	-38.776*** (12.010)	-0.044 (0.058)	1.163*** (0.320)
N	1,473	1,427	1,333
Adj. R^2	0.024	0.256	0.114

(a) Table 8: Divestiture and future firm outcomes

Table 9

Do politicians divest in anticipation of loss of power?

The average marginal effect of anticipation of retirement on divestment. Divest_{ijt} is defined as an indicator variable that takes the value one when politician i is not an investor in firm j at time t conditional upon being an investor at time $t-1$, and zero when politician i is an investor in firm j at time t conditional upon being an investor at time $t-1$. PAC_RETIRE_{ijt} is an indicator variable that takes the value of one if politician i anticipates retirement in time t and receives contribution from firm j . $\text{No_PAC_RETIRE}_{ijt}$ is an indicator variable that takes the value of one if politician i anticipates retirement in time t and does not receive contribution from firm j . PAC_{ijt} is an indicator variable that takes the value of one if politician i receives a campaign contribution from firm j in time t , and zero otherwise. The controls include the lagged values of ownership determinants (i.e., the lagged values of all the controls reported in Table 2, column 1). See Table 1 for the sample description. Standard errors corrected for clustering at the politician-firm level are reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$ (two-tailed test).

	Divest_{ijt}
PAC_RETIRE_{ijt} (1)	0.107** (0.045)
$\text{NoPAC_RETIRE}_{ijt}$ (2)	0.012 (0.016)
Test 1 = 2 [p-value]	[0.049]
PAC_{ijt}	-0.061*** (0.013)
Full set of controls included?	Yes
Year dummies?	Yes
Industry dummies?	Yes
N	12,457

(b) Table 9: Retirement and divestiture

6.10 Table 10: Financial gains from contracts

Read:

- Table 10 tests whether politicians invest more in firms receiving contracts that are large relative to revenues.
- The coefficient on $Contract/Total\ revenues_{jt}$ is positive and significant.
- The result supports the view that politicians' ownership allocations respond to the potential financial gains associated with firm benefits.

Economic message: The table complements the main mechanism. Politicians appear more willing to hold stocks where government contracts can materially affect firm value.

Table 10

Do politicians invest more in firms receiving contracts that are large relative to revenues?

Tobit model estimates of $Ownership_{ijt}$, which is defined as the natural logarithm of one plus the dollar amount of shares owned if politician i invests in firm j at time t , and zero if he or she does not invest. $Contract/Total\ revenues_{jt}$ captures how large the contracts are given to firm j in year t relative to its total revenues; the numerator is the log of one plus contract amounts and the denominator is the log of one plus total revenues. The controls include all the independent variables reported in Table 2, column 1. Both the politician and firm effect are modeled following Chamberlain (1984). See Table 1 for the sample description. Standard errors corrected for clustering at the politician–firm level are reported in parentheses. $*p < 0.10$, $**p < 0.05$, $***p < 0.01$ (two-tailed test).

	$Ownership_{ijt}$
$Contract/Totalrevenues_{jt}$	0.023*** (0.0036)
Full set of controls included?	Yes
Year dummies?	Yes
Politician effect?	Yes
Firm effect?	Yes
Intercept	–243.172*** (3.222)
Ln_Sigma	21.614*** (0.075)
N	1,308,535
Pseudo R^2	0.088

Table 10: Contract importance and politician ownership

7 Short summary

- The paper studies whether stock ownership by US members of Congress helps enforce politician–firm quid pro quo relationships.
- It combines congressional stock ownership disclosures, PAC contributions, committee assignments, firm characteristics, and government contract data.
- Politicians own more stock in firms that contribute to their election campaigns.

- The association is partisan and remains after controls for proximity, firm characteristics, politician characteristics, and modeled firm and politician effects.
- The ownership–contribution link is stronger when the relationship is more valuable: no committee mechanism, smaller firms, more powerful politicians, and non-investigation periods.
- The link is stronger when the politician’s financial incentives are higher.
- Firms with stronger ownership–contribution associations receive more government contracts.
- When politicians divest contributor stocks, firms lose contributions, future contracts, and performance.
- Politicians divest contributor stocks, but not noncontributor stocks, in anticipation of retirement.
- The core contribution is to identify stock ownership as a finance-based enforcement mechanism in the market for political favors.

8 Conclusion

8.1 Core conclusion

Tahoun shows that stock ownership by politicians is systematically connected to firm campaign contributions and subsequent firm benefits. The evidence suggests that ownership is not merely a conventional portfolio choice. It can function as an implicit commitment device that aligns politicians’ personal wealth with firm outcomes and helps sustain a mutually beneficial but noncontractible political relationship.

8.2 Economic intuition

The intuition is an implicit-contract problem. A firm can support a politician through PAC contributions, and a politician can help the firm through contracts, regulatory influence, legislative support, or other favors. But neither side can write an enforceable contract. Stock ownership changes the incentive problem. Once the politician owns the firm’s stock, helping the firm also helps the politician financially, while harming the firm harms the politician. This reduces the firm’s uncertainty and strengthens its incentive to support the politician.

8.3 Incremental contribution revisited

The paper contributes by moving from the question “are firms politically connected?” to the deeper question “how are political exchanges enforced?” It introduces a new political-connection measure based on the joint alignment of ownership and contributions. This measure outperforms several standard political-connection variables in explaining

government contracts, suggesting that reciprocal alignment matters more than one-sided spending or one-sided ownership.

8.4 Implications for finance and political economy

The paper implies that individual portfolio choices can be shaped by institutional power and private-benefit channels. Politicians are not ordinary investors when their decisions can affect firm cash flows. More broadly, the paper suggests that financial holdings can support implicit agreements in settings where formal contracts are illegal, incomplete, or unenforceable.

8.5 Limitations

The evidence is observational, and the paper cannot observe the private communications behind politician–firm relationships. The ownership data are limited by disclosure thresholds and range reporting. Government contracts capture only one measurable type of firm benefit. The sample focuses on large public firms and a short 2004–2007 ownership window. These limitations mean that the paper should be interpreted as evidence of a mechanism, not as direct proof of explicit bribery in any individual case.

8.6 Takeaway

The enduring takeaway is that stock ownership can make political relationships financially self-enforcing. When politicians personally own firms that support them, the boundary between portfolio choice and political influence becomes blurred. Tahoun’s paper gives a concrete empirical framework for studying that boundary.